

A Certainly, in the professional audio industry, there are three subsegments: MI (Live performance), Pro (Broadcasters), and A4V. The creator's community for us internally is A4V and we it is a huge market. There is an increasing demand for high-quality audio equipment because people have come to realize that good audio is a crucial aspect of transmitting information or delivering presentations. We acknowledge this need, and that's why during the pandemic we started selling some of our products through e-commerce platforms in India. Our successful e-commerce venture in 2020 and our growing online presence proved that some professional audio products such as headphones and plug-and-play microphones can be sold on digital platforms. In the A4V category we have also recently launched our profile USB mic, which caters to this segment.

Q We also see a lot of brands operating in the professional audio space having their sound signature of sorts in terms of speakers and headphones. So, is there any similar thing that Sennheiser has in place in terms of having a particular sound signature or tune-in to the professional?

A The perception of sound is subjective, just like color preferences. Some people may like darker colors, while others prefer brighter hues. Similarly, people's preferences for sound may vary, some may prefer heavier bass or more treble. At Sennheiser, we strive to ensure that our audio is transparent enough and fits into different genres. For instance, we have capsules for applications that require heavier bass and applications for speech, reporters, and so on. We recognize the importance of understanding the market and the diverse applications that our products cater to. Therefore, we strive to develop technologies and products that can meet the needs of our customers.

Q Talking about the diversification of markets, as we talked

about earlier, there was a rising number of people who are getting into streaming and content creation from home. So was there any change in the pricing or product strategies for the professional audio products? Will we be seeing more products like the Profile USB mic coming in and fitting in around the mid-range, if I may say, the segment of different audio professionals?

A Sennheiser prioritizes understanding the market's needs and is constantly studying it. One of our cultural principles states "Everything starts and ends with the customer" it is the foundation of our approach. As such, we aim to identify who our customers are, what they need, and how we can best serve them. Today's event is an example of how we gather and analyse customer feedback. In fact, last year, we allocated almost 50 million euros in R&D, which accounted for over 20% of our revenue, towards product development. We are committed to continuously improving and investing in our products to meet the demands of the market.

Q Coming again, back to like Gen Z and this, you know, newer age consumers who are coming into the professional audio space. What approaches does Sennheiser have in terms of appealing to this audience that is coming in or people of younger ages who are coming into the technology space? Is it just advertising? Or is it in terms of the product design or something that Sennheiser does to appeal to the younger generation?

A In my opinion, education is the most crucial aspect. During the pandemic, we made efforts like "Don't stop the education, Don't stop the music" activities to keep education going. We maintain a multifaceted approach towards training and education. Our product managers, who are part of the project from the very beginning until the product is ready for market, are responsible for educating our internal staff. We have a department called the Sound Academy

team and these are colleagues who are dedicated to creating content to educate our dealers and partners. We provide dedicated training to our sales teams on how to train the dealers and additionally, we also have Technical Application Engineers who can go into the field to conduct in-depth, hands-on trainings on selected products in different parts of the world. Last but not least, we have user generated content, which also helps to educate end users. To us, education is a key tenet of success.

Q In terms of like, so there has been a reported trend in the increase of professional audio product sales across the world, and the Asia Pacific region is at the forefront of it. So, is Sennheiser doing something to get along and make sure to capitalize on whatever lies ahead?

A Certainly, we are aware that the pandemic has ended, and we have seen a growth in our business in 2021 and even last our business grew in multi folds. The demand for our products and services has also bounced back since touring and live performances have resumed. In order to meet the demand of our customers, we are working closely with them to ensure a steady supply of our products.

Q When you talk about, customer demand, how does Sennheiser identify what the customers are demanding?

A We make sure to involve our customers in every product we create or develop. We conduct surveys and focus groups to gather their feedback. In fact, just last month, we had colleagues from Germany visit Japan and Korea to conduct focus groups, including the surveys as well. We also have pre-production prototypes that we ask people to test and provide feedback on. This way, we ensure that all our products have input from our customers.

This was a glimpse at the conversation. To read the full interaction, head over to <https://bit.ly/SenInter>! 